

Table 7.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L48%, M46%, H42%	L31%, M29%, H28%
Throwbacks occurrence	64%	66%
Average time to throwback peaks	8% in 6 days	11% in 6 days
Average time to throwback ends	12 days	12 days
Average rise for patterns with throwbacks	45%	27%
Average rise for patterns without throwbacks	48%	34%
Percentage price resumes trend	76%	60%
Performance with breakout day gap	47%	39%
Performance without breakout day gap	46%	28%
Average gap size	\$0.38	\$0.47

Want to make 50% on your trades? You'll lose 73% of the time in bull markets (that's one winner and three losers, and that's if you trade it perfectly). In bear markets, the results are even worse with 84% failing to climb more than 50%.

Set realistic goals and realize that you'll have to make more on winning trades to compensate for losing ones. Trading perfectly also helps... (that's a joke, but focusing on improving technique often leads to making more profit).

Table 7.4 shows breakout and post-breakout statistics.

Breakout direction. All big Ws break out upward. If they don't, then they are not big Ws.

Yearly position, performance. I sorted patterns according to the breakout price and checked performance of the three ranges.